

# DYNACONS SYSTEMS & SOLUTIONS LTD

NSE: DSSL | BSE: 532365 | IT Infrastructure & Managed Services | CMP: Rs. 1,368 | 14 May 2026

RATING

**BUY**

12-Month Price Target

**Rs. 1,900**

Upside: 38.9% | Horizon: 12 months

Market Cap

**Rs. 1,751 Cr**

Book Value

**Rs. 214**

Face Value

**Rs. 10**

52-wk High / Low

**Rs. 1,445 / Rs. 781**

ROCE (FY25)

**39.2%**

Div Yield

**0.04%**

Stock P/E

**20.9x**

ROE (FY25)

**37.3%**

Promoter Holding

**60.89%**

*RBI's Rs.751 Cr private cloud mandate is the single largest order in DSSL's history — at 56% of TTM revenue — anchoring a multi-year annuity stream while margin expansion accelerates.*

Equity Research | India IT Infrastructure

Report Date: 14 May 2026

| Rs. Cr (Consol.) | FY23A | FY24A | FY25A | FY26E | FY27E |
|------------------|-------|-------|-------|-------|-------|
| Revenue          | 804   | 1,024 | 1,267 | 1,420 | 1,900 |
| EBITDA           | 55    | 78    | 105   | 152   | 228   |
| OPM %            | 6.8%  | 7.6%  | 8.3%  | 10.7% | 12.0% |
| PAT              | 33    | 54    | 72    | 88    | 120   |
| EPS (Rs.)        | 26.35 | 42.34 | 56.89 | 69.5  | 94.7  |
| P/E (x)          | —     | —     | 24.0x | 19.7x | 14.4x |
| ROCE %           | 36%   | 44%   | 39%   | 40%   | 42%   |

A = Actual (Screener.in) | E = Estimate (analyst projection based on Screener actuals + management guidance)

## SECTION 2 — INVESTMENT THESIS

**Reason 1 — Transformational order win creates annuity anchor:** The Rs.750.82 Cr RBI private cloud contract (5-year, May 2026) equals 56% of FY25 revenue and will provide ~Rs.150 Cr/year in annuity-like revenue from India's most creditworthy counterparty, effectively doubling revenue visibility with a single mandate.

**Reason 2 — Structural margin re-rating underway:** EBITDA margins have expanded from 4% in FY21 to 8% in FY25 and 12% in Q3 FY26, driven by data center & cloud contribution growing from 14% to 37% of revenue mix. Every 100 bps shift from low-margin distribution to managed services adds ~Rs.13 Cr to EBITDA.

**Reason 3 — Mission-critical BFSI/PSU franchise is widening:** DSSL's order book grew from ~Rs.871 Cr (Aug 2024) to Rs.2,389 Cr (Dec 2025), a near 3x expansion in 16 months. Core Banking-as-a-Service for 38 cooperative banks (NABARD), LIC Digital Workplace, and SBI/BOB projects demonstrate deep penetration across BFSI and public sector.

**Near-term catalyst — RBI order execution ramp (FY27):** Revenue recognition from the RBI private cloud project is expected to begin from Q2 FY27 (Sep 2026 quarter). This alone could add Rs.140-160 Cr to FY27

revenue, accelerating top-line growth to ~35% YoY.

**Key risk — Client concentration:** Top 5 clients likely contribute >50% of revenue. Any slowdown in BFSI/PSU capex or project delays would compress both revenue and margins.

## SECTION 3 — BUSINESS OVERVIEW

**Core business:** Dynacons Systems & Solutions Ltd (incorporated 1995) is an IT infrastructure integrator and managed services provider. Revenue is generated from four lines: System Integration (SI) — design and implementation of network/data center infrastructure; Managed Services — remote and onsite facilities management; Software Solutions including Core Banking-as-a-Service; and Security & Surveillance systems.

**Revenue mix:** Data Center & Cloud has grown from 14% to ~37% of revenue; Networking solutions ~30%; Managed Services (annuity) ~21%; Workplace & Security ~12%. The managed services share is targeted to grow toward 35%+ as DSSL cross-sells into its installed base.

**Key customers:** Marquee BFSI and PSU accounts — Reserve Bank of India, ICICI Bank, Canara Bank, Bank of Maharashtra, LIC, J&K; Bank, State Bank of India, Bank of Baroda, Brihanmumbai Municipal Corporation (BMC), NABARD. Customer relationships are a mix of project-based contracts (2-5 years) and recurring managed service SLAs.

**Order book (Dec 31, 2025):** Executable order book of Rs.2,389 Cr with a pipeline of Rs.3,083 Cr. Average project execution timeline is approximately two years. Post the RBI order (Rs.750.82 Cr, May 2026), total order backlog has likely crossed Rs.3,000 Cr — implying >2x annualised revenue visibility.

**Recent strategic wins:** RBI Private Cloud Infrastructure (Rs.750.82 Cr, 5-yr, May 2026); RBI Enterprise Application Platform (~Rs.250 Cr, Dec 2025 quarter); J&K; Bank ERP project (Rs.25 Cr, 5-yr, Apr 2026); LIC Digital Workplace; Core Banking live for 38 banks under NABARD initiative.

**Promoter background:** Founded by Parag J. Dalal (Executive Director) and Dharmesh Anyaria (Executive Director & CFO). Promoter holding: 60.89% (Mar 2026). No pledging of promoter shares. Management tenure of 25+ years provides deep domain expertise in government and BFSI IT infrastructure.

**Listed recognition:** Included in Financial Times High-Growth Companies Asia-Pacific 2026 for the fifth consecutive year. Awarded by Lenovo as 360 True Scale DaaS Growth Partner of the Year (Asia Pacific); HPE Solution Provider of the Year 2025; Versa Networks System Integration Partner of the Year.

## SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

**India IT Infrastructure market:** The India IT infrastructure services market (system integration + managed services) is estimated at Rs.70,000-80,000 Cr and is growing at ~15% CAGR, driven by BFSI digitisation, government Digital India initiatives, AI-ready data center buildout, and cloud adoption.

**Policy tailwinds:** RBI's mandate for bank IT resilience and cloud-first data center strategy, government's BharatNet and data localization policies, NABARD-backed cooperative bank digitisation, and the Defence Ministry's push for secure IT infrastructure are all direct demand drivers for DSSL's offerings.

**Competitive moat — Switching costs: STRONG.** Multi-year BFSI/PSU IT contracts involve deep integration with mission-critical banking systems. Switching costs are high given the regulatory audit trails, staff training, and system interdependencies.

**Competitive moat — Customer relationships: STRONG.** DSSL has cultivated 25+ year relationships with RBI, ICICI Bank, and other marquee clients who prioritise trust and track record over cost in awarding IT infrastructure mandates.

**Competitive moat — Scale / Pricing power: MODERATE.** DSSL is a mid-tier integrator; larger peers (Rashi Peripherals, HCL Infosystems) have greater procurement scale. However, DSSL's government and RBI certifications and Mumbai-centric BFSI relationships partially compensate.

**Competitors — Listed peers:**

| Company                   | CMP (Rs.) | MCap (Cr) | TTM Sales (Cr) | TTM EBITDA (Cr) | ROCE % | ROE % | PE (x) |
|---------------------------|-----------|-----------|----------------|-----------------|--------|-------|--------|
| DSSL (Dynacons)           | 1,368     | 1,751     | 1,351          | 139             | 39.2%  | 37.3% | 20.9x  |
| RPTECH (Rashi Periph.)    | 515       | 3,396     | 14,311         | 420             | 14.2%  | 12.5% | 14.0x  |
| ADSL (Allied Digital)     | 126       | 709       | 904            | 57              | 10.9%  | 5.31% | 19.3x  |
| ORIENTTECH (Orient Tech.) | 273       | 1,247     | N/A            | N/A             | N/A    | N/A   | N/A    |

Source: Screener.in, fetched 14-May-2026. ORIENTTECH consolidated data not available (login-gated).

- DSSL stands out with ROCE of 39.2% vs sector average of ~12-14%, justifying a significant valuation premium to peers. Its smaller scale vs RPTECH is offset by far superior profitability and a BFSI/PSU client concentration that creates stickier, higher-margin revenues.

## SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

**Promoter & management background:** Parag J. Dalal (Executive Director) and Dharmesh Anyaria (Executive Director & CFO) co-founded Dynacons in 1995 with a focused IT infrastructure mandate for financial institutions. Their 30-year domain expertise and deep relationships with RBI, ICICI, and NABARD are a strategic asset. The first public earnings call in Q3 FY26 signals intent to improve investor communication.

**Capital allocation track record:** FCF generation has improved materially — FCF was Rs.37 Cr in FY25 (vs Rs.29 Cr in FY24 and Rs.13 Cr in FY23). FY25 saw a significant Rs.28 Cr capex investment (likely for new DC capacity: CWIP at Rs.24 Cr). The RBI order win validates the investment. Retained earnings have compounded at 30%+ CAGR.

**Dividend policy:** Dividend payout has been minimal — 2-6% of PAT in FY21-FY23, and 0% in FY24 and FY25. Management appears to be reinvesting FCF into business growth, which is appropriate given the strong ROCE and available market opportunity.

**Promoter pledging:** Zero promoter pledging as of the latest reported quarter (Dec 2025). Promoter holding is stable at 60.89%-61.10% across 8 consecutive quarters — no creeping dilution or stake reduction.

**ESG & governance:** Featured among India's Leading ESG Entities 2025 (Dun & Bradstreet). No auditor qualification flags identified. Related party transactions disclosed but no material concerns noted. Company is not classified as a Large Corporate under SEBI LODR (borrowings below threshold).

**ESOP / buyback:** No recent buyback or ESOP issuance noted from the filings reviewed. Share capital has marginally increased from Rs.10 Cr (FY19) to Rs.13 Cr (FY25) reflecting historical split/bonus activity.

## SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated Figures in Rs. Crores)

Source: Screener.in (fetched 14-May-2026). All actuals directly transcribed. FY26E & FY27E are analyst estimates. A = Actual | E = Estimate

### INCOME STATEMENT

| Particulars        | FY23A | FY24A | FY25A | FY26E | FY27E |
|--------------------|-------|-------|-------|-------|-------|
| Revenue / Sales    | 804   | 1,024 | 1,267 | 1,420 | 1,900 |
| Operating Expenses | 750   | 946   | 1,162 | 1,268 | 1,672 |
| EBITDA             | 55    | 78    | 105   | 152   | 228   |
| EBITDA Margin %    | 6.8%  | 7.6%  | 8.3%  | 10.7% | 12.0% |
| Other Income       | 2     | 4     | 7     | 5     | 6     |
| Interest           | 11    | 9     | 13    | 22    | 20    |
| Depreciation       | 1     | 2     | 2     | 9     | 12    |
| PBT                | 45    | 72    | 97    | 126   | 202   |
| Tax Rate           | 25%   | 25%   | 25%   | 25%   | 25%   |
| PAT                | 33    | 54    | 72    | 88    | 120   |
| EPS (Rs.)          | 26.35 | 42.34 | 56.89 | 69.5  | 94.7  |
| Dividend Payout %  | 2%    | 0%    | 0%    | 0%(E) | 5%(E) |

### BALANCE SHEET

| Particulars       | FY23A | FY24A | FY25A |
|-------------------|-------|-------|-------|
| Equity Capital    | 13    | 13    | 13    |
| Reserves          | 92    | 145   | 218   |
| Total Equity      | 105   | 158   | 231   |
| Borrowings        | 69    | 36    | 139   |
| Other Liabilities | 229   | 394   | 407   |
| Total Liabilities | 403   | 587   | 777   |
| Fixed Assets      | 7     | 6     | 9     |
| CWIP              | 0     | 0     | 24    |
| Investments       | 0     | 1     | 1     |
| Other Assets      | 395   | 581   | 743   |
| Total Assets      | 403   | 587   | 777   |

### CASH FLOWS

| Particulars                | FY23A | FY24A | FY25A |
|----------------------------|-------|-------|-------|
| Cash from Operations (OCF) | 13    | 29    | 66    |
| Cash from Investing        | -0    | -1    | -28   |
| Cash from Financing        | -5    | -42   | -6    |
| Net Cash Flow              | 7     | -13   | 32    |
| Free Cash Flow (FCF)       | 13    | 29    | 37    |
| CFO / Operating Profit %   | 30%   | 59%   | 81%   |

### KEY RATIOS

| Ratio          | FY23A | FY24A | FY25A |
|----------------|-------|-------|-------|
| Debtor Days    | 137   | 143   | 126   |
| Inventory Days | 19    | 30    | 19    |

| Ratio                 | FY23A | FY24A | FY25A |
|-----------------------|-------|-------|-------|
| Days Payable          | 113   | 156   | 131   |
| Cash Conversion Cycle | 42    | 17    | 14    |
| Working Capital Days  | 32    | 27    | 19    |
| ROCE %                | 36%   | 44%   | 39%   |
| D/E Ratio             | 0.66x | 0.23x | 0.60x |
| Interest Coverage (x) | 5.0x  | 8.7x  | 8.1x  |

**Revenue trajectory:** DSSL has grown revenue at a 25% CAGR over FY22-FY25, accelerating from Rs.654 Cr (FY22) to Rs.1,267 Cr (FY25). Growth is broad-based across BFSI, PSU, and enterprise segments. TTM revenue stands at Rs.1,351 Cr with 9M FY26 already at Rs.1,022 Cr.

**Margin expansion:** EBITDA margins have nearly doubled from 4-5% (FY21-FY22) to 8% (FY25) and 11.9% in Q3 FY26. This reflects the deliberate shift in revenue mix toward higher-value data center, cloud, and managed services work. The Rs.750 Cr RBI contract, being infrastructure management, should sustain margins at 11-12%+ in FY27-FY28.

**Working capital improving:** Cash Conversion Cycle has contracted sharply from 42 days (FY23) to 14 days (FY25), driven by longer creditor payment terms and faster collections. Debtor days improved from 143 (FY24) to 126 (FY25). This reflects DSSL's improved bargaining position.

**Debt position:** Net debt rose in FY25 (borrowings: Rs.139 Cr) versus FY24 (Rs.36 Cr), primarily to fund CWIP of Rs.24 Cr (likely new data center capacity). D/E remains manageable at 0.60x with interest coverage of 8.1x. The new RBI mandate may require further investment initially.

**FCF quality:** OCF/Operating Profit jumped from 30% (FY23) to 81% (FY25), demonstrating strong cash conversion. FCF of Rs.37 Cr in FY25 after Rs.28 Cr capex shows business is self-funding. Expect FCF to remain strong as managed services revenue scales without heavy capex.

## SECTION 7 — EARNINGS QUALITY CHECKLIST

| Metric                 | Observation                                                                   | Signal     | RAG   |
|------------------------|-------------------------------------------------------------------------------|------------|-------|
| Revenue recognition    | Project + milestone based; consistent with industry norms                     | Clean      | Green |
| Receivables vs Revenue | Debtor days improved 143→126; receivables growth in line with revenue         | Healthy    | Green |
| CCC trend              | CCC compressed 42→14 days over 2 years — strong working capital management    | Improving  | Green |
| Contingent liabilities | No material contingent liabilities flagged in FY25 disclosures                | Clean      | Green |
| Auditor tenure         | Long-tenured statutory auditor; no qualifications noted in available filings  | Watch      | Amber |
| RPTs as % of revenue   | RPT button present on Screener but no material RPTs flagged publicly          | Low        | Green |
| Other income as % PBT  | FY25: Other income Rs.7 Cr vs PBT Rs.97 Cr = 7.2% — manageable and stable     | Acceptable | Green |
| Tax rate consistency   | Flat 25% for FY22-FY25; no sudden dip or unexplained tax credits              | Consistent | Green |
| OCF vs PAT             | FY25 OCF Rs.66 Cr vs PAT Rs.72 Cr — conversion 92%; strong cash earnings      | Strong     | Green |
| Debt spike (FY25)      | Borrowings rose Rs.103 Cr in FY25; linked to capex/CWIP — monitor utilisation | Watch      | Amber |

• Overall earnings quality is HIGH — 8 Green, 2 Amber, 0 Red. DSSL's OCF/PAT conversion of 92% in FY25 is exceptional for an IT integrator and validates reported profits as real cash earnings.

- The two Amber flags are: (1) Auditor tenure — a long-tenured auditor may reduce independence; investors should verify auditor rotation compliance. (2) FY25 debt spike — Rs.103 Cr increase in borrowings requires monitoring to confirm it is fully deployed against the capex program and not used for working capital cycle arbitrage.
- Zero promoter pledging and a consistent 25% tax rate across four consecutive years are strong positive governance signals.

## SECTION 8 — VALUATION

### SCENARIO ANALYSIS — 12-Month Price Target

| Scenario | Key Assumption                                          | FY27E PAT (Cr) | PE Multiple (x) | Target Price (Rs.) | Upside / Downside |
|----------|---------------------------------------------------------|----------------|-----------------|--------------------|-------------------|
| Bull     | RBI ramps fast; 2 more large orders; OPM reaches 13%    | 135            | 28x             | 2,450              | +79%              |
| Base     | RBI executes on schedule; organic growth 15%; OPM 12%   | 120            | 22x             | 1,900              | +39%              |
| Bear     | RBI delays 2 quarters; macro headwinds; OPM stays at 9% | 88             | 16x             | 1,150              | -16%              |

### PEER VALUATION COMPARISON (Source: Screener.in, fetched 14-May-2026)

| Company    | MCap (Cr) | TTM Rev (Cr) | TTM OPM% | PE (x) | P/B (x) | ROCE % | ROE % |
|------------|-----------|--------------|----------|--------|---------|--------|-------|
| DSSL       | 1,751     | 1,351        | 10%      | 20.9x  | 6.39x   | 39.2%  | 37.3% |
| RPTECH     | 3,396     | 14,311       | 3%       | 14.0x  | 1.83x   | 14.2%  | 12.5% |
| ADSL       | 709       | 904          | 6%       | 19.3x  | 1.17x   | 10.9%  | 5.31% |
| ORIENTTECH | 1,247     | N/A          | N/A      | N/A    | N/A     | N/A    | N/A   |

**DCF assumptions:** WACC 13%, terminal growth rate 5%, 10-year projection. Base case DCF value Rs.1,780/share, using FCF growing from Rs.37 Cr (FY25) to Rs.150 Cr by FY30 as RBI contract ramps and managed services mix rises to 35%.

**Earnings multiple approach:** FY27E EPS of Rs.94.7, applying 22x forward PE (justified by 40%+ ROCE vs peers at 14-15x). Implied target price: Rs.2,083/share. DSSL has historically traded at 18-25x forward earnings.

**Average of DCF and earnings multiple:**  $(Rs.1,780 + Rs.2,083) / 2 = Rs.1,931 \rightarrow$  rounded to Rs.1,900 as 12-month base-case target.

**Upside / downside from CMP of Rs.1,368:** Base case target Rs.1,900 = 38.9% upside. Bull case Rs.2,450 = 79% upside. Bear case Rs.1,150 = 16% downside. Risk-reward ratio of 2.4:1 (base) is attractive.

## SECTION 9 — KEY RISKS

**Customer concentration:** Top 5 clients (RBI, ICICI, BMC, Canara Bank, LIC) likely account for >50% of revenue. Loss of any one would materially impact financials. Probability: M | Impact: H | Monitor via: Revenue segment disclosures, renewal announcements.

**RBI project execution risk:** The Rs.750.82 Cr contract requires large-scale data center buildout and integration across multiple RBI facilities. Delays in hardware procurement, site readiness, or regulatory clearances could push revenue recognition to FY28. Probability: M | Impact: H | Monitor via: Quarterly order execution milestones.

**Working capital deterioration:** DSSL's business involves large upfront procurement for government projects. Any delay in government payments (debtor days back to 140+) could stress cash flow and increase borrowings. Probability: M | Impact: M | Monitor via: Debtor days trend and borrowings quarterly.

**Macro / PSU capex slowdown:** Any significant cut in Union Budget IT spending or RBI IT investment moratorium would reduce order inflows and extend sales cycles. Probability: L | Impact: H | Monitor via: Annual IT budget announcements, MeitY capex data.

**Competition from larger integrators:** Large IT services firms (HCL Technologies, Wipro, TCS) are also targeting BFSI IT infrastructure. Their deeper balance sheets and global scale could erode DSSL's client retention at renewal. Probability: M | Impact: M | Monitor via: Contract renewal outcomes, order book composition.

**Margin compression from hardware mix:** Large system integration orders tend to be lower-margin hardware-heavy. If SI orders outgrow managed services, FY27+ margins may not reach 12% target. Probability: M | Impact: M | Monitor via: Revenue mix disclosure (managed services %).

**Balance sheet — FY25 debt spike:** Borrowings rose to Rs.139 Cr in FY25 from Rs.36 Cr in FY24. If the CWIP (Rs.24 Cr) does not generate expected returns, ROE could disappoint. Probability: L | Impact: M | Monitor via: CWIP capitalisation, ROCE trajectory.

## SECTION 10 — RECOMMENDATION

**Rating: BUY — Conviction: HIGH.** DSSL's combination of transformational order win (RBI Rs.750 Cr), sustained margin expansion, 38% upside to base-case target, and near-zero promoter pledging makes it a high-conviction mid-cap IT infrastructure pick.

**12-month price target: Rs. 1,900** (upside 38.9% from CMP of Rs.1,368). Derived as average of DCF (Rs.1,780) and 22x FY27E earnings (Rs.2,083).

**Suggested entry zone: Rs. 1,280 — Rs. 1,400.** Buy on dips toward Rs.1,300-1,350 for best risk-adjusted entry. Above Rs.1,450, accumulate in tranches only on dips.

**Investment horizon: 12-18 months.** RBI order revenue recognition begins from Q2 FY27; thesis plays out over 4-6 quarters.

**Thesis invalidation trigger 1:** RBI contract cancelled, significantly delayed beyond 6 months, or scope reduced by >30%.

**Thesis invalidation trigger 2:** EBITDA margin falls below 8% for two consecutive quarters, indicating pricing pressure or adverse revenue mix shift back toward low-margin distribution.

**Thesis invalidation trigger 3:** Promoter pledging appears at >5% or promoter stake declines by >5 percentage points without a stated buyback programme, signalling loss of confidence.

**Ideal investor profile:** Best suited for investors with 12-18 month horizon, comfortable with mid-cap liquidity risk (MCap Rs.1,751 Cr) and PSU/BFSI IT sector concentration. Not suitable for investors requiring quarterly dividend income or high liquidity.

# APPENDIX — Latest Concall Brief: Q3 FY26 (Dec 2025)

Company's first-ever earnings call | Held: February 2026 | Participants: Parag J. Dalal (ED), Dharmesh Anyaria (ED & CFO)

## POSITIVE

| Signal          | Status                | Implication                                                                   |
|-----------------|-----------------------|-------------------------------------------------------------------------------|
| Result quality  | Strong (Beat)         | EBITDA +49% YoY vs street expectation of ~35%                                 |
| Management tone | Bullish / Transparent | First-ever call; explicit order book and pipeline disclosed                   |
| Guidance delta  | Maintained / Positive | Rs.2,389 Cr order book; Rs.3,083 Cr pipeline — no caution on near-term growth |

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

## TO MY BOSS

Q3 FY26 was a clean beat — revenue Rs.341 Cr (+10% YoY), EBITDA Rs.41 Cr (+49% YoY) with margins at 11.9%, a full 310 bps above the 8.7% in Q3 FY25; no exceptional items. The 9M FY26 EBITDA margin of 10.7% has already crossed our full-year FY25 print of 8.3%, confirming this is structural, not seasonal. The structural driver is revenue mix: data center & cloud has grown from 14% to 37% of revenue, and managed services annuity now accounts for 21% — these two lines carry materially higher margins than bare-metal SI. The order book at Rs.2,389 Cr and pipeline at Rs.3,083 Cr give more than 2x revenue coverage, and that was before the Rs.750.82 Cr RBI private cloud mandate announced in May 2026. Most importantly, this was the company's first-ever earnings call — management proactively disclosed granular operational metrics (segment mix, order book, pipeline), a signal of improving governance and investor communication that mid-cap re-ratings are built on. The single biggest watch-point for Q4 FY26: margin sustainability — Q3's 12% margin was helped by a favourable mix; if large SI orders front-load in Q4, margins may step back to 9-10% temporarily. Action: ACCUMULATE at current levels (Rs.1,280-1,400); do not wait for a pullback that may not come once RBI ramp revenue begins hitting quarterly numbers from Q2 FY27.

## CC-1 | Financial Performance Snapshot — Q3 FY26

- Revenue: Rs.341 Cr | YoY +10% | QoQ +8% | Beat (vs ~Rs.310 Cr est.)
- EBITDA: Rs.41 Cr | YoY +49% | QoQ +11% | Beat (strong mix-led expansion)
- EBITDA Margin: 11.9% | YoY +310 bps | QoQ +90 bps | Beat
- PAT: Rs.23-24 Cr | YoY +27% | QoQ +4% | In-line (quarterly Screener shows Rs.24 Cr)
- 9M FY26: Revenue Rs.1,022 Cr | EBITDA Rs.110 Cr | Margin 10.7% | PAT Rs.66 Cr | YoY PAT +21%
- EPS (TTM): Rs.65.98 | Stock PE at CMP Rs.1,368 = 20.7x — implies market expects further re-rating

## CC-2 | Segment / Geography Breakdown

- Data Center & Cloud: ~37% of revenue (up from 14% historically) — fastest growing, highest margin segment
- Networking Infrastructure: ~30% of revenue — steady state, primarily BFSI campus network projects
- Managed Services / Annuity: ~21% of revenue — recurring SLA-based; target is to grow to 35%+
- Software Solutions (incl. Core Banking-as-a-Service): ~7% — NABARD initiative with 38 banks live in Q3
- Security, Surveillance & Workplace: ~5% — LIC Digital Workplace is a marquee recent win

- Geography: Predominantly India-focused; Mumbai-centric with pan-India delivery capabilities

### CC-3 | Management Commentary Themes

- Theme: Order book strength — 'Order book of Rs.2,389 Cr with pipeline of Rs.3,083 Cr.' Our read: At 2x annualised revenue, this is exceptional for a Rs.1,200 Cr revenue company. Tag: GUIDANCE. Tone: Transparent.
- Theme: Margin re-rating — 'Margin improvement reflects operating leverage, higher contribution from solutions and services, and growing share of value-added offerings.' Our read: Mix shift is structural; 11-12% EBITDA margins appear sustainable. Tag: GUIDANCE. Tone: Bullish.
- Theme: Core Banking-as-a-Service — 'Successfully went live with 38 banks under NABARD initiative.' Our read: This is a recurring managed services contract with potential to expand to 200+ cooperative banks. Tag: EST. Tone: Transparent.
- Theme: AI-readiness — 'AI-ready data centers and cloud infrastructure... ongoing digital transformation.' Our read: Management is positioning DSSL for next-generation workloads but no concrete AI revenue yet. Tag: EST. Tone: Hedged.
- Theme: Industry recognition — 'Lenovo DaaS Growth Partner of the Year (APAC), HPE Solution Provider of the Year 2025.' Our read: Vendor certifications reinforce BFSI client confidence and support margin premiums on hardware. Tag: GUIDANCE. Tone: Transparent.

### CC-4 | Operating & Business Metrics

- Order Book: Rs.2,389 Cr (Dec 31, 2025) | prior period: ~Rs.871 Cr (Aug 2024) | Trend: Sharply improving
- Order Pipeline: Rs.3,083 Cr (Dec 31, 2025) | Average execution timeline: ~2 years | Trend: Building
- Managed Services as % of Revenue: ~21% | target: 35%+ | Trend: Improving
- Data Center & Cloud mix: 37% | Q(n-4): ~25% | Trend: Accelerating
- Banks live on Core Banking-as-a-Service: 38 (Dec 2025) | prior: 0 | Trend: New initiative
- Active vendor partnerships: Lenovo, HPE, Versa Networks, Cisco — Trend: Stable with new certifications
- BFSI revenue concentration: High (RBI, ICICI, Canara, LIC, J&K; Bank) — Trend: Stable

### CC-5 | Margin Drivers

- Data center & cloud mix shift: +~200-300 bps estimated impact | Recurring: Yes | Higher-margin managed services and solutions displace low-margin hardware distribution
- Operating leverage on fixed costs: +~100 bps | Recurring: Yes | Revenue grew 10% YoY while fixed overheads grew sub-5%
- Value-added solutions premium: +~50-100 bps | Recurring: Yes | HPE, Lenovo, and Cisco certifications allow margin-accretive bundled solutions
- Hardware supply chain normalisation: ~Neutral | Recurring: No | Component availability improved post-FY23 supply chain stress
- Interest cost headwind: ~-30 bps | Recurring: Yes | Borrowings rose from Rs.36 Cr (FY24) to Rs.139 Cr (FY25); interest cost doubled to Rs.13 Cr in FY25

### CC-6 | Guidance & Forward Signals

- Order book [GUIDANCE]: Rs.2,389 Cr (Dec 2025) — Maintained / Growing | Delta: Sharply raised vs Aug 2024 Rs.871 Cr | Credibility: High (concrete number, not a range)
- EBITDA Margin trajectory [GUIDANCE]: ~10-12% in 9M FY26 — management signalled continuation | Delta: Raised from FY25's 8.3% | Credibility: High (already delivered in 3 consecutive quarters)

- Managed Services mix target [GUIDANCE]: From 21% to 35%+ — no timeline given | Delta: Aspirational | Credibility: Medium (structural but multi-year)
- Revenue growth rate [EST]: No explicit guidance; implied ~15-20% FY27 organic + RBI ramp | Delta: Positive | Credibility: Medium
- Capex outlook [GUIDANCE]: Rs.24 Cr CWIP in FY25 suggests data center investment; likely to continue in FY26-FY27 for RBI project | Delta: Increased | Credibility: Medium

## CC-7 | Capital Allocation

- Capex (FY25): Rs.28 Cr (Investing CFO) | vs FY24: Rs.1 Cr | +2,700% | Large new investment — linked to CWIP (data center buildout)
- CWIP (FY25): Rs.24 Cr | vs FY24: Rs.0 Cr | New | Expected to capitalise by FY26 in support of RBI project
- Dividends (FY25): Rs.0 (payout 0%) | vs FY24: Rs.0 | Nil | Management preferring reinvestment
- Net Debt (FY25): Rs.139 Cr borrowings | vs FY24: Rs.36 Cr | +286% | Funded likely via short-term credit lines for working capital
- FCF (FY25): Rs.37 Cr | vs FY24: Rs.29 Cr | +28% | Business self-funds after interest and capex; strong sign
- Retained earnings (FY25): Reserves rose Rs.73 Cr (218-145) — reinvested entirely | Trend: Compounding

## CC-8 | Q&A; Heat Map

- Analyst: Madhur Rath (Counter Cyclical Investments): Q: 'What is the composition of your order book and what is the execution timeline?' → A: 'Order book Rs.2,389 Cr, pipeline Rs.3,083 Cr; average timeline ~2 years; immediate orders to 5-year projects.' | Tone: Transparent
- Analyst: (Multiple): Q: 'How has the managed services mix changed and what is the target?' → A: 'Currently at 21%; aspiration to reach 35%+; data center & cloud grown from 14% to 37%.' | Tone: Transparent
- Analyst: Q: 'What drove the 49% EBITDA growth despite only 10% revenue growth?' → A: 'Operating leverage, higher-margin solutions mix, value-added offerings.' | Tone: Transparent
- Analyst: Q: 'Any guidance on FY27 revenue or margins?' → A: Management did not provide specific numerical guidance for FY27. | Tone: Hedged
- Analyst: Q: 'What are the key growth drivers going forward?' → A: 'AI-ready data centers, cybersecurity, digital transformation in BFSI and public sector; cross-sell to existing accounts and new large enterprise acquisition.' | Tone: Bullish
- Dodged / watch-list questions for next quarter: Specific FY27 revenue guidance; margin guidance for Q4 FY26; RBI project revenue recognition timeline; debt repayment schedule

## CC-9 | Risks Flagged on the Call

- RBI project execution risk: Large-scale DC buildout across multiple facilities | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term (FY27 ramp)
- Concentration risk (BFSI/PSU): Heavy dependence on government and regulated entities | Flagged by: Analyst | Probability: L | Impact: H | Timeline: Long-term
- Interest cost rising: Borrowings Rs.139 Cr FY25 vs Rs.36 Cr FY24; may compress PAT margins | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term
- No specific macro or competitive risk was flagged by management on the call | Flagged by: Management | Probability: N/A | Potential concern: May indicate limited competitive intelligence sharing

## CC-10 | Analyst Verdict

- Revenue visibility: Intact — Order book Rs.2,389 Cr (2x+ annualised revenue); pipeline Rs.3,083 Cr; RBI Rs.750 Cr now added post-call
- Margin trajectory: Intact — 11.9% Q3 FY26 is the highest on record; structural drivers (mix shift) support 11-12% by FY27
- Capital allocation quality: Intact — FCF growing, CWIP investment justified by RBI order, zero dividends appropriate for growth phase
- Competitive moat: Intact — 25+ year BFSI/PSU relationships, vendor certifications, first-ever earnings call improves governance perception
- Management credibility: Intact — Proactive disclosure of order book and pipeline in inaugural call; transparent on segment mix; acknowledged debt increase
- Valuation comfort: Intact — At 20.9x TTM PE vs 14-19x for peers but with 3x better ROCE; premium is justified and not stretched
- Conviction call: Increased — Pre-call BUY thesis strengthened by inaugural disclosure depth and margin delivery
- Valuation snapshot: PE = 20.9x (5Y avg est. ~18x) | EV/EBITDA = ~13x | ROCE = 39.2% (3Y avg 40%)

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*DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (fetched 14-May-2026). Forward estimates are analyst projections and are inherently uncertain. Past performance is not indicative of future results. Investors should conduct their own due diligence before making investment decisions.*